



CHAPTER 17

An Act to increase certain taxes and otherwise to amend
the law relating to the Public Revenue.

[21st December, 1955]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

PURCHASE TAX

1.—(1) Section nine of the Finance Act, 1952 (which provides for reducing or discharging purchase tax on certain wearing apparel, textiles and domestic furniture by making a deduction from wholesale value), shall cease to have effect. Purchase tax.

(2) Part I of the Eighth Schedule to the Finance Act, 1948, shall have effect subject to the amendments in the First Schedule to this Act (of which those set out in Part I of that Schedule comprise amendments reducing the rate of tax chargeable on wearing apparel, textiles and domestic furniture).

PART I
—cont.

(3) In Part I of the said Eighth Schedule as amended by the First Schedule to this Act—

- (a) each rate of 25 per cent. in any Group shall be increased to 30 per cent. ;
- (b) each rate of 50 per cent. in Group 11 or any following Group shall be increased to 60 per cent., and
- (c) each rate of 75 per cent. in any Group shall be increased to 90 per cent.

(4) This section shall have effect subject to any order made by the Treasury under section twenty-one of the Finance Act, 1948, after the passing of this Act.

(5) This section shall have effect as from the twenty-seventh day of October, nineteen hundred and fifty-five.

PART II

THE PROFITS TAX AND INCOME TAX

Amendments of profits tax

Rates of
profits tax,
etc.

2.—(1) The enactments relating to the profits tax shall be amended as respects any chargeable accounting period ending after the end of October, nineteen hundred and fifty-five, by substituting—

- (a) twenty-seven and a half per cent. for twenty-two and a half per cent. as the rate of any tax not being a distribution charge ; and
- (b) twenty-five per cent. for twenty per cent. as the rate of any relief for non-distribution.

(2) Where a period which, apart from this section, would be a chargeable accounting period of a trade or business falls partly before and partly after the end of October, nineteen hundred and fifty-five, the parts thereof falling before and after the end of that month shall be separate chargeable accounting periods.

(3) The consequential and transitional provisions contained in the Second Schedule to this Act shall have effect in relation to the preceding provisions of this section.

Amendments of Income Tax Acts

Lloyd's
and other
underwriters.

3.—(1) The Twenty-first Schedule to the Income Tax Act, 1952 (which contains provisions as to arrangements for special reserve funds in relation to Lloyd's and other underwriters), shall have effect as if in sub-paragraph (1) of paragraph 6 thereof (which specifies the maximum gross amount which the underwriter may pay into his special reserve fund or funds), for the words—

“ five thousand pounds or thirty-five per cent. of that profit, whichever is the less ”

there were substituted the words—

“seven thousand pounds or fifty per cent. of that profit, whichever is the less”:

PART II
—cont.

Provided that the amendment effected by the foregoing provisions of this subsection shall not apply to any arrangements which permit an underwriter, by reason of the making of a profit for an underwriting year corresponding to a year of assessment earlier than the year 1955-56, to pay into his special reserve fund or funds more than is provided for by the said subparagraph (1) as in force apart from this subsection.

(2) Where an underwriter dies while carrying on his business and, after giving effect to the requirements of paragraph 7 of the said Schedule (under which withdrawals are to be made to meet losses), his special reserve fund or funds include an amount which represents an excess in the payments made into the fund or funds for any underwriting year over the limit permitted by subparagraph (1) of the said paragraph 6, as in force apart from subsection (1) of this section,—

- (a) he shall be deemed for all income tax purposes to have received in the year of assessment corresponding to the said underwriting year a payment of the said amount—
 - (i) which was an annual payment chargeable to income tax by way of deduction and paid out of profits or gains brought into charge to tax, and
 - (ii) which was payable in the year of assessment in which it is deemed to have been paid, and
- (b) the payment (to the said actual amount) shall be deemed for the purposes of the said Schedule and for all income tax purposes to be a net amount corresponding to a gross amount from which income tax has been duly deducted at the standard rate for the year of assessment in which the amount is deemed as aforesaid to have been payable and paid.

(3) Where, to give effect to the requirements of the said paragraph 7 as to the meeting of a loss, any withdrawal was made at any time from the capital of the underwriter's special reserve fund or funds, the amount withdrawn shall be regarded for the purposes of subsection (2) of this section—

- (a) as having been met out of payments into the fund or funds made for underwriting years before that in which the loss was incurred, and as having been met before any withdrawal to meet a loss for a later underwriting year, and
- (b) as having been met out of so much of the payments made for any underwriting year (including a year corresponding to a year of assessment earlier than 1955-56)

PART II
—cont.

as was not in excess of the limit permitted by sub-paragraph (1) of paragraph 6 of the said Schedule, as in force apart from subsection (1) of this section, rather than out of such part of the payments made for any underwriting year corresponding to a year of assessment after 1954-55 as was in excess of the said limit, and

- (c) subject to that, as having been met out of payments in excess of the said limit for a later year, rather than out of payments in excess of the said limit for an earlier year,

and where payments have been made into the underwriter's special reserve fund or funds for any underwriting year in excess of the said limit, his fund or funds shall be deemed at all subsequent times to include an amount representing that excess except to the extent that any withdrawal is, under the provisions of this subsection, to be regarded as having been met out of that amount.

(4) Any tax chargeable by virtue of this section shall be assessed and charged upon the underwriter's personal representatives, and assessments may be made in respect of tax so chargeable at any time within the period permitted by subsection (2) of section forty-seven of the Income Tax Act, 1952 (which, as extended by subsection (3) of section two hundred and twenty-nine of that Act provides that surtax and other assessments on the personal representatives of a deceased person in respect of income arising before the death must be made within three years from the year in which the death occurred), notwithstanding the time limit in subsection (1) of that section (which provides that assessments shall be made within six years from the year to which the assessments relate); and the tax so charged shall be a debt due from and payable out of the underwriter's estate.

(5) Expressions occurring in the foregoing provisions of this section to which a meaning is assigned by the said Twenty-first Schedule shall be construed as if they occurred in that Schedule and references in this section to payments made into a special reserve fund or funds for a particular underwriting year are references to payments made, as described in sub-paragraph (1) of paragraph 6 of the said Schedule, by reference to the profits made for that underwriting year.

Purchases of
shares by
financial
concerns and
persons
exempted
from tax.

4.—(1) Where a person engaged in carrying on a trade which consists of or comprises dealings in shares or other investments becomes entitled to receive a dividend on a holding of shares of any class to which this section applies, being shares sold or issued to him or otherwise acquired by him after the twenty-sixth day of October, nineteen hundred and fifty-five, and not more

than six years before the date on which the dividend becomes payable, and the dividend is to any extent paid out of profits accumulated before the date on which the shares were so acquired, then, if those shares, or those shares together with—

- (a) any other shares the dividend on which is payable to that person and which were sold or issued to him or otherwise acquired by him after the said twenty-sixth day of October and not more than six years before the date on which the dividend becomes payable, and
- (b) in a case where the trade is under the same control as another trade which consists of or comprises dealings in shares or other investments, any shares the dividend on which is payable to the person engaged in carrying on that other trade and which were sold or issued to him or otherwise acquired by him after the said twenty-sixth day of October and not more than six years before the date on which the dividend becomes payable, and
- (c) any such shares as are to be brought into account under subsection (3) of this section,

amount to ten per cent. or more of the issued shares of that class, the net amount of the dividend received on the shares in the holding shall, to the said extent to which it was paid out of profits accumulated before the shares were acquired, be brought into account in computing the profits or gains or losses of the trade as if it were a trading receipt which had not borne tax.

(2) Where a person entitled under any enactment to an exemption from income tax which extends to dividends on shares becomes entitled to receive a dividend on a holding of shares of any class to which this section applies, being shares sold or issued to him or otherwise acquired by him after the said twenty-sixth day of October and not more than six years before the date on which the dividend becomes payable, and the dividend is to any extent paid out of profits accumulated before the date on which the shares were so acquired, then, if those shares, or those shares together with—

- (a) any other shares the dividend on which is payable to that person and which were sold or issued to him or otherwise acquired by him after the said twenty-sixth day of October and not more than six years before the date on which the dividend becomes payable, and
- (b) any such shares as are to be brought into account under subsection (3) of this section,

amount to ten per cent. or more of the issued shares of that class, the exemption shall, to an extent proportionate to the

PART II
—cont.

said extent to which the dividend is paid out of profits accumulated before the date on which the shares were acquired, not apply to the dividend:

Provided that if any annual payment is payable by that person out of the dividend, that annual payment shall be deemed as to the whole thereof to be paid out of profits or gains not brought into charge to tax and section one hundred and seventy of the Income Tax Act, 1952, shall apply accordingly.

(3) If two or more persons, being persons engaged in carrying on trades of the kind mentioned in subsection (1) of this section or entitled to an exemption of the kind mentioned in subsection (2) of this section, have each acquired shares in a company and in doing so were acting in concert, then in the application of either of those subsections in relation to a dividend payable to one of those persons on shares which include shares so acquired (or shares acquired in right of those shares) there shall be taken into account under paragraph (c) of subsection (1), or, as the case may be, paragraph (b) of subsection (2), any shares the dividend on which is payable to any other of those persons, being shares so acquired by that other person (or shares acquired in right of those shares).

(4) A dividend shall not be brought into account in accordance with subsection (1) of this section as a trading receipt if in accordance with subsection (3) of section two hundred and three of the Income Tax Act, 1952 (which relates to the sale and repurchase of securities), the acquisition of the shares on which the dividend is paid is to be disregarded in computing for the purposes specified therein the profits arising from, or loss sustained in, the trade.

(5) Where any shares have been sold or otherwise disposed of by a person who held shares of that kind acquired at different times (whether or not including a time before the said twenty-sixth day of October, nineteen hundred and fifty-five) it shall be assumed for the purposes of this section that shares which have been held for a longer time have been disposed of before shares which have been held for a shorter time.

(6) Where at the time when a trade is, or is deemed to be, set up and commenced or at the time of any relevant change within the meaning of the Third Schedule to the Finance Act, 1954 (which relates to company reconstructions), any shares form part of the trading stock belonging to the trade those shares shall be regarded for the purposes of this section as having been acquired at that time by the person then engaged in carrying on the trade; and, subject to the foregoing provisions of this subsection, where there is a change in the persons engaged in carrying on a trade which is not a change on which the trade is deemed to be discontinued and which is not such a relevant

change as aforesaid, the provisions of this section shall apply in relation to the person so engaged after the change as if anything done to or by his predecessor had been done to or by him.

PART II
—cont.

(7) The provisions of the Third Schedule to this Act shall have effect for the purpose of ascertaining whether a dividend is to be regarded as paid to any extent out of profits accumulated before a given date.

(8) For the purposes of this section and the said Schedule to this Act—

- (a) “company” includes any body corporate, but does not extend to a company not resident in the United Kingdom;
- (b) “person” includes any body of persons, and references to a person entitled to any exemption from income tax include, in a case of an exemption expressed to apply to income of a trust or fund, references to the persons entitled to make claims for the granting of that exemption;
- (c) “shares of a class to which this section applies” means shares of any class forming part of a company’s share capital other than a class of fully-paid preference shares carrying only a right to dividends at a rate per cent. of the nominal value of the shares which is fixed or fluctuates only in accordance with the standard rate of income tax and which in the opinion of the Commissioners having jurisdiction in the matter does not substantially exceed the yield generally obtainable on preference shares the prices of which are quoted on stock exchanges in the United Kingdom;
- (d) “share” includes stock other than debenture or loan stock;
- (e) shares shall be regarded as of different classes if the rights and obligations respectively attached to them are as regards the payment of dividends or the amount paid up or in any other respect distinguishable;
- (f) any reference to shares acquired in right of other shares includes a reference to shares acquired in pursuance of an offer or invitation which was restricted to holders of those other shares;
- (g) two trades shall be regarded as under the same control if they are carried on by persons one of whom is a body of persons over whom the other has control (within the meaning assigned to that expression by section three hundred and thirty-three of the Income Tax Act, 1952), or both of whom are bodies of persons under the control (as so defined) of a third person.

PART II
—cont.

and several trades shall be regarded as under the same control if each is under the same control as all of the others,

and in the last foregoing paragraph “body of persons” includes a partnership.

PART III

GENERAL

Short title,
etc.

5.—(1) This Act may be cited as the Finance (No. 2) Act, 1955.

(2) Part I of this Act shall be construed as one with Part V of the Finance (No. 2) Act, 1940.

(3) Part II of this Act—

(a) so far as it relates to the profits tax shall be construed as one with Part III of the Finance Act, 1937, and the other enactments relating to the profits tax; and

(b) so far as it relates to income tax, shall be construed as one with the Income Tax Acts.

(4) Any reference in this Act to any other enactment shall, except so far as the context otherwise requires, be construed as a reference to that enactment as amended or applied by or under any other enactment, including this Act.

(5) The enactments specified in the Fourth Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule.

SCHEDULES

FIRST SCHEDULE

Section 1.

AMENDMENTS OF PURCHASE TAX RATES

PART I

WEARING APPAREL, TEXTILES AND DOMESTIC FURNITURE

1. In Group 1 (which comprises garments and footwear) each rate of 25 per cent. shall be reduced to 5 per cent.

2.—(1) In Group 2 (which comprises headgear) each rate of 25 per cent. shall be reduced to 10 per cent.

(2) At the end of Group 2 there shall be added the following paragraph—

“(i) Articles of headgear suitable only for babies’ wear Exempt”

3.—(1) In Group 3 (which comprises gloves) the rate of 25 per cent. shall be reduced to 5 per cent.

(2) The following paragraph shall be added after paragraph (a) of Group 3—

“(b) Gloves suitable only for babies’ wear Exempt”

4.—(1) In Group 4 (paragraph (a) of which charges haberdashery not comprised in any of the following paragraphs at 25 per cent.) the following paragraph shall be added after paragraph (b)—

“(c) Handkerchiefs, scarves, shawls and braces ... 5 per cent.”

(2) At the end of Group 4 there shall be added the following paragraph—

“(j) Tissues and fabrics, whether in the piece,
shaped or partly made up Not chargeable
under this
Group.”

5. For Group 5 (which charges textile articles containing wool at 50 per cent. and cushions, pillows and mattresses at 25 per cent.) there shall be substituted the following:—

“Group 5

(a) Cushions, cushion pads, pillows, bolsters,
overlay mattresses and mattress shapes,
being articles of a kind used for domestic
purposes and not comprised in the following
paragraph of this Group 5 per cent.

(b) Air pillows, air cushions, water beds, water
pillows and water cushions, being articles
of a kind used for domestic purposes Exempt”

1ST SCH.
—cont.

6.—(1) All goods comprised in paragraph (a) of Group 6 (which relates to tissues and fabrics) shall be chargeable at 10 per cent. and the goods so comprised shall include tissues and fabrics of whatever material not exceeding twelve inches in width and not comprised in any of the following paragraphs of that Group.

(2) The material exceeding twelve inches in width and chargeable under the said paragraph (a) shall be known as Class A material instead of woollen material.

(3) Accordingly, for sub-paragraphs (i) and (ii) of the said paragraph (a) there shall be substituted the following sub-paragraphs—

“(i) Not exceeding 12 inches in width ... 10 per cent.

(ii) Class A material (as defined at the end of this Group) exceeding 12 inches in width 10 per cent.”

and at the end of Group 6 there shall be added the words—

“In this Group ‘Class A material’ means textile material containing more than 15 per cent. by weight of fibre (whether or not subjected to any process of manufacture or recovery) from the coat or fleece of alpaca, camel, goat, hare, lamb, llama, rabbit, sheep, vicuna or yak, or of horsehair.”

7. Sub-paragraph (iii) of paragraph (b) of Group 9 (which charges rugs other than fur rugs and floor rugs) shall be omitted.

8.—(1) In Group 11 (paragraph (a) of which charges furniture not comprised in any other paragraph of the Group at 25 per cent.) the following paragraph shall be added after paragraph (a)—

“(b) Furniture of a kind used for domestic purposes, and comprised in the following list ... 5 per cent.

The list above mentioned

Wardrobes, cupboards, tallboys, cabinets other than refrigerator cabinets, chests, chests of drawers, dressing chests, sideboards, bureaux, bookcases, bookcase units, sets of shelves (but not including any of the above-mentioned articles which are made of metal).

Tables, including writing tables and dressing tables, and trolleys.

Chairs, settees, stools, pouffes and other seats.

Divans, bunks, ottomans, spring-bases, box-spring mattresses and other mattresses, not being overlay mattresses.

Headboards and bedstead ends.

Fireside curbs.”

(2) Before paragraph (f) of Group 11 there shall be added the following paragraph—

“(e) Babies’ high chairs, babies’ cradles and stands therefor, cots and play pens Exempt”

PART II

1ST SCH.
—cont.

OTHER AMENDMENTS

9. In Group 11 the following provisions shall be omitted:—

- (a) paragraph (d) (under which glassware of cut glass is charged at a higher rate than other articles comprised in Group 11),
- (b) paragraph (i) (which provides that certain table-ware, kitchen-ware and similar articles shall not be chargeable under that Group),
- (c) paragraphs (j), (r), (t), (u) and (v) (which exempt brushes, laundering appliances, pot scourers, pastry boards, rolling pins and coal or cinder sieves and sifters),
- (d) the words “dustbins, buckets, pails” and the words “pedal-operated sanitary bins, coal hods and coal scuttles” in paragraph (k) (which exempts those goods):

Provided that the omission of the said paragraph (j) exempting household brushes, brooms and mops shall have effect only as respects the period ending with the first day of December, nineteen hundred and fifty-five.

10.—(1) Group 12 shall be amended as follows.

(2) At the end of paragraph (b) (which charges space heating and water heating appliances suitable for operation from electric or gas mains) for the words “suitable for operation from electric or gas mains” there shall be substituted the words “designed for operation by electricity or gas”.

(3) For paragraph (e) (which exempts certain space heating appliances incorporating electric fans or pumps) there shall be substituted the following paragraph:—

“(e) Appliances of the following descriptions incorporating electric fans or electric pumps or both such fans and such pumps:—

- (i) solid fuel burning or oil burning
space or water heaters and oil burners of a
kind used for space or water heaters Exempt
- (ii) radiators and convectors for connection
to hot water or steam central heating systems Exempt”

(4) Paragraphs (g), (h), (i) and (j) (which exempt or exclude cooking utensils incorporating heating elements, irons, interval timers, kitchen scales and weighing machines, wringers and mangles) shall be omitted but sub-paragraph (i) of paragraph (a) (which charges articles designed for operation by electricity or gas at a higher rate) shall not apply to goods comprised in those paragraphs and, accordingly, for the words in the first column of the said sub-paragraph (i) there shall be substituted the following:—

“(i) articles designed for operation by electricity or gas but not including those in the following list of exceptions.

The list of exceptions above referred to:

Washing machines which are designed for heating water by electricity or gas but which are not otherwise designed for operation by electricity or gas.

Clocks and clock movements.

1ST SCH.
—cont.

Sewing machines and motors therefor.

Hair drying machines.

Lighting appliances.

Electric blankets, electric warming pads and electric bed warmers.

Gas poker.

Electric kettles and other cooking utensils incorporating heating elements.

Smoothing irons and pressing irons."

11. As respects the period ending with the twenty-eighth day of November, nineteen hundred and fifty-five, in paragraph (e) of Group 23 (which exempts shopping baskets and bags) for the word "Exempt" there shall be substituted the words "30 per cent."

12.—(1) In Group 25 (which charges vases of a kind produced in quantity for general sale and similar articles) the word "vases" where it first occurs shall be omitted and in paragraph (i) (which excludes from that Group articles comprised in other Groups) the words "(other than vases)" shall be omitted.

(2) After the words "for general sale" in Group 25 there shall be added the words "and frames for pictures, frames and stands for photographs, and similar frames and stands" and at the end of that Group there shall be added the following paragraphs:—

"(j) Frames for pictures, frames and stands for photographs and similar frames and stands 30 per cent.

(k) Picture frames of wood, plain, gilt or coloured, with or without ornamental composition, which are made from moulding of a width not less at any point than three inches Exempt"

(3) In Group 11 paragraph (g) (which is replaced by the paragraph (k) to be added to Group 25) shall be omitted.

(4) For paragraph (g) of Group 25 (which is framed by reference to a paragraph of Group 11 to be omitted under the foregoing provisions of this Schedule) there shall be substituted the following paragraph:—

"(g) Articles of a kind used for domestic purposes, the following:—

vessels designed for use primarily as containers for food or drink in the course of its storage, preparation or consumption, lids for use with vessels so designed, serving trays, bread boards, bowls, vases and jugs and ewers

Not chargeable
under this
Group."

13.—(1) No goods shall be chargeable under Group 27 or 28 (which relate to goldsmiths' and silversmiths' wares and articles of semi-precious materials).

1ST SCH.
—cont.

(2) In Group 26 (which relates to jewellery) the existing entry shall be paragraph (a) and the following paragraphs shall be added :—

- “(b) Articles of personal adornment and other articles of a kind worn on the person, being articles made wholly or partly of gold, silver or other precious metal (not including base metal which is coated or plated with precious metal) ... 60 per cent.
- (c) Trophy cups, bowls and similar articles of a kind awarded as prizes ... 30 per cent.
- (d) Miniatures or reproductions of the insignia of orders, decorations and medals granted by the Sovereign or conferred by or in the gift of a foreign Sovereign State or the Head of a foreign Sovereign State, and ribbons, bars and clasps designed for wear with, or with miniatures or reproductions of, such orders, decorations and medals (including made-up ribbon bars) ... Exempt ”

(3) In Group 27 paragraph (b) (which is replaced by the paragraph (d) added to Group 26) shall cease to have effect and accordingly the whole of Groups 27 and 28 shall be omitted.

SECOND SCHEDULE

Section 2.

PROFITS TAX: CONSEQUENTIAL AND TRANSITIONAL PROVISIONS

Rates of distribution charges

1.—(1) The rate of any distribution charge in respect of a trade or business for a chargeable accounting period ending after the end of October, nineteen hundred and fifty-five, shall be determined as follows—

- (a) the charge shall be at twenty-five per cent., subject to this, that the amount on which the charge is at twenty-five per cent. for any chargeable accounting period shall not, when added to the total of the amounts, if any, on which distribution charges at twenty-five per cent. have fallen to be made for previous chargeable accounting periods, exceed the total of the amounts on which reliefs for non-distribution have been given at twenty-five per cent. for previous chargeable accounting periods ;

2ND SCH.
—cont.

(b) on the amount on which, under the preceding paragraph, the charge cannot be at twenty-five per cent. it shall be at twenty per cent., subject to this, that the amount on which the charge is at twenty per cent. shall not, when added—

(i) to the total of the amounts, if any, on which distribution charges at twenty per cent. have fallen to be made for previous chargeable accounting periods ending after the end of the year nineteen hundred and fifty-one; and

(ii) to the total of the amounts, if any, on which distribution charges at forty per cent. have fallen to be made for previous chargeable accounting periods ending at or before the end of the year nineteen hundred and fifty-one;

exceed the total of the amounts on which reliefs for non-distribution have been given at forty per cent. for previous chargeable accounting periods or at twenty per cent. for previous chargeable accounting periods ending after the end of the year nineteen hundred and fifty-one;

(c) on the amount on which, under the preceding paragraphs, the charge cannot be at twenty-five per cent. or twenty per cent., it shall be at ten per cent., subject to this, that the amount on which the charge is at ten per cent. shall not, when added—

(i) to the total of the amounts, if any, on which distribution charges at ten per cent. have fallen to be made for previous chargeable accounting periods ending after the end of the year nineteen hundred and fifty-one; and

(ii) to the total of the amounts, if any, on which distribution charges at twenty per cent. have fallen to be made for previous chargeable accounting periods ending at or before the end of the year nineteen hundred and fifty-one;

exceed the total of the amounts on which reliefs for non-distribution have been given at twenty per cent. for previous chargeable accounting periods ending at or before the end of the year nineteen hundred and fifty;

(d) on the amount on which under the preceding paragraphs the charge cannot be at twenty-five per cent. or twenty per cent. or ten per cent. it shall be at seven-and-a-half per cent.

References in this sub-paragraph to a distribution charge at a specified rate include references to so much of a distribution charge which is partly at that rate and partly at other rates as is at that rate.

(2) Where, under either of the following provisions of the Finance Act, 1947, that is to say—

(a) subsection (4) of section thirty-six (which relates to schemes of amalgamation or reconstruction); and

(b) subsection (2) of section thirty-eight (which relates to companies having subsidiaries);

a difference in respect of which a non-distribution relief was given to or in respect of a body corporate is to be treated (in whole or

in part) as if it had been a difference arising in relation to another body corporate on which non-distribution relief has been given to that body, then, for the purposes of sub-paragraph (1) of this paragraph, relief shall be treated as having been given to the second-mentioned body on the difference or the relevant part thereof at the rate or rates at which it was given to or in respect of the first-mentioned body.

2ND SCH.
—cont.

Repaid loans

2.—(1) In subsection (3) of section thirty-six of the Finance Act, 1947 (under which the net relevant distributions to proprietors of a body corporate, society or other body are in certain cases treated, on repayment of a loan, as reduced by the amount corresponding to the increase in tax, if any, caused by the loan having previously been treated as part of the body's gross relevant distributions to proprietors), the expression "the amount corresponding to the increase", in relation to a repayment made in a chargeable accounting period ending after the end of October, nineteen hundred and fifty-five, shall, subject to the following provisions of this paragraph, mean the amount tax on which at twenty-five per cent. would be equal to the tax originally ascribable to the loan (that is to say, mean four times the tax originally ascribable to the loan).

(2) If there is a distribution charge at a rate other than twenty-five per cent. for the chargeable accounting period in which any such repayment is made, then in relation to that repayment the expression "the amount corresponding to the increase" in the said subsection (3) shall, subject to sub-paragraph (4) of this paragraph, mean an amount equal to, or, as the case may be, to the sum of, whichever of the following amounts is or are applicable to the circumstances of the case, that is to say—

- (a) if there is a distribution charge at seven-and-a-half per cent., thirteen and one-third times whichever of the following two amounts is the less, that is to say—
 - (i) the tax originally ascribable to the loan ; or
 - (ii) the distribution charge at seven-and-a-half per cent ;
- (b) if there is no distribution charge at seven-and-a-half per cent. or if the distribution charge at seven-and-a-half per cent. is less than the tax originally ascribable to the loan, ten times whichever of the following two amounts is the less, that is to say—
 - (i) the tax originally ascribable to the loan, less the distribution charge, if any, at seven-and-a-half per cent. ;
 - or
 - (ii) the distribution charge at ten per cent. ;
- (c) if there is no distribution charge at seven-and-a-half per cent. or ten per cent. or if the distribution charge at those rates is less than the tax originally ascribable to the loan, five times whichever of the following two amounts is the less, that is to say—
 - (i) the tax originally ascribable to the loan, less the distribution charge, if any, at those rates ; or
 - (ii) the distribution charge at twenty per cent. ;

2ND SCH.
—cont.

(d) if the distribution charge at seven-and-a-half per cent., ten per cent. and twenty per cent. is less than the tax originally ascribable to the loan, four times the amount by which the tax originally ascribable to the loan exceeds the distribution charge at those rates.

(3) In the last foregoing sub-paragraph, references to a distribution charge shall be taken as referring to the distribution charge which would be chargeable but for the reduction under the said subsection (3), and references to a distribution charge at a specified rate include references to so much of a distribution charge which is partly at that rate and partly at other rates as is at that rate.

(4) This paragraph shall apply in relation to loans made before the end of the year nineteen hundred and fifty-one with the substitution for references to the tax originally ascribable to the loan of references to half the amount of that tax.

(5) In this paragraph "the tax originally ascribable to the loan" means the amount by which the tax for any chargeable accounting period has been increased by reason of the loan being treated as part of the gross relevant distributions to proprietors for that period.

Chargeable accounting periods divided by this Act

3.—(1) In relation to a period which is divided into two chargeable accounting periods by subsection (2) of section two of this Act (in this paragraph referred to as "the divided period"), the enactments specified in sub-paragraphs (2) to (4) of this paragraph shall have effect subject to the provisions of those sub-paragraphs respectively, being provisions designed to secure that the application of those enactments is not affected by the division.

(2) Subsection (1) of section thirty-nine of the Finance Act, 1941 (which, as applied by section forty-three of that Act, relates to the effect of changes in income tax law on the computation of profits for the purpose of profits tax), shall, as so applied, have effect in relation to both chargeable accounting periods as if the reference to the end of the chargeable accounting period were a reference to the end of the divided period.

(3) Each of the following provisions, that is to say, subsections (2) and (3) of section thirty-one and subsections (1) and (2) of section thirty-nine of the Finance Act, 1947 (which relate respectively to bodies corporate whose income is apportioned under Chapter III of Part IX of the Income Tax Act, 1952, and to persons resident outside the United Kingdom), shall apply in relation to either of the said chargeable accounting periods if, but only if, it would apply in relation to the divided period were it a single chargeable accounting period.

(4) The requirement as to residence imposed, for the purposes of double taxation relief, by paragraph 3 of the Sixteenth Schedule to the Income Tax Act, 1952, and the requirement as to residence imposed for those purposes by paragraph 1 of Part II of the Seventeenth Schedule to that Act, shall not be deemed to be satisfied in relation to either chargeable accounting period unless it would be satisfied in relation to the divided period were it a single chargeable accounting period.

*Increases of dividend*2ND SCH.
—cont.

4.—(1) If, in the case of any accounting period of a body corporate, unincorporated society or other body beginning before the end of October, nineteen hundred and fifty-five, the total of the dividends assignable to that period exceeds the governing total, any such dividends declared after the twenty-fifth day of October, nineteen hundred and fifty-five, shall, to the extent of the excess—

- (a) in determining the gross relevant distributions to proprietors for the chargeable accounting period beginning at the end of October, nineteen hundred and fifty-five, or for that in which they are paid, whichever is the later, be included as a distribution for that chargeable accounting period ;
- (b) in determining those for any chargeable accounting period other than the one last mentioned, be left out of account.

(2) The governing total for the purposes of sub-paragraph (1) of this paragraph is, in relation to any accounting period of a body corporate, society or other body, the total of the dividends assignable to the immediately preceding accounting period thereof:

Provided that—

- (a) where the amount of any class of paid-up share capital on which dividends assignable to the preceding accounting period are paid is less than the amount of that class of paid-up share capital on which dividends assignable to the succeeding accounting period are paid, then (subject to sub-paragraph (3) of this paragraph) the dividends on that class of capital assignable to the said preceding period shall, if the person carrying on the trade or business so elects, be treated for the purposes of this sub-paragraph as correspondingly increased ; and
- (b) where the preceding accounting period is longer or shorter than the succeeding accounting period, the total dividends assignable to the said preceding period shall be treated for the purposes of this sub-paragraph as correspondingly reduced or increased.

(3) For the purposes of paragraph (a) of the proviso to sub-paragraph (2) of this paragraph, any increase in the amount of any class of paid-up share capital on which dividends are paid shall be disregarded in so far as it represents shares which were previously unissued or not paid up but which have since been issued, or been treated as paid up, wholly or partly in consideration of the retention by the body or society, by way of set-off or otherwise, of sums distributable by way of dividend.

(4) For the purposes of this paragraph, the dividends assignable to any accounting period are those expressed to be paid in respect of that period or any part thereof :

Provided that dividends declared after the twenty-fifth day of October, nineteen hundred and fifty-five, which either—

- (a) are not expressed to be paid in respect of any period ; or

2ND SCH
—cont.

- (b) are expressed to be paid in respect of, or of part of, an accounting period earlier than that ending with or last before the end of that month ;

are to be treated as assignable to the accounting period in which they are paid.

(5) In this paragraph "dividend" includes an interim dividend, and a dividend shall be treated as being declared—

- (a) in the case of a dividend declared by a body or society in general meeting, at the date of the declaration ;
(b) in any other case, at the date on which it is paid :

Provided that—

- (i) where a dividend is declared in general meeting in accordance with a recommendation of the directors and the directors' decision to make that recommendation was, with the authority of the directors, publicly announced at an earlier date, the dividends shall, for the purposes of this paragraph, be treated as declared at that earlier date ; and
(ii) where a dividend not so declared is paid in accordance with a decision of the directors and that decision was, with their authority, publicly announced at an earlier date, the dividend shall, if the body or society so elects, for the purposes of this paragraph be treated as declared at that earlier date.

Section 4.

THIRD SCHEDULE

PURCHASES OF SHARES BY FINANCIAL CONCERNS AND PERSONS EXEMPTED FROM TAX

1.—(1) Subject to the provisions of the next following paragraph, a dividend shall be regarded for the purposes of section four of this Act and of this Schedule as paid wholly out of profits accumulated before a given date (hereinafter referred to as "the relevant date")—

- (a) if it is declared for a period falling wholly before the relevant date, or
(b) if there are no profits of the company arising in the period beginning with the relevant date and ending with the date on which the dividend is payable, or
(c) if, out of such profits of the company as arose in the said period beginning with the relevant date, no part is, having regard to paragraph 3 of this Schedule, available for payment of the dividend.

(2) Subject as aforesaid, where, out of such profits of the company as arose in the said period beginning with the relevant date, some part is, having regard to paragraph 3 of this Schedule, available for payment of the dividend but the total amount distributed in payment of the net dividend on all the shares of the class in question exceeds the said part of the profits, the dividend shall be regarded for the said purposes as paid out of profits accumulated before the relevant date to an extent which is the same as the proportion which the excess bears to the said total amount.

(3) For the purposes of this Schedule a dividend which is declared for a period falling partly before the relevant date, and partly after, shall be regarded as consisting of two dividends respectively declared for the two parts of the period and of amounts proportionate to those parts.

2.—(1) Notwithstanding the provisions of the foregoing paragraph, a dividend shall not be regarded as paid to any extent out of profits accumulated before the relevant date—

- (a) if it became payable within one year from that date ; and
- (b) if in the opinion of the Commissioners having jurisdiction in the matter the annual rate of dividend on the shares in question in the said year—
 - (i) is not substantially greater than the annual rate of dividend on those shares in the period of three years ending on the relevant date, or
 - (ii) in a case where the shares in question were acquired in the ordinary course of a business of arranging public issues and placings of shares, represents a yield on the cost to the person receiving the dividend which is not substantially greater than the yield obtainable by investing in comparable shares the prices of which are quoted on stock exchanges in the United Kingdom.

(2) For the purposes of paragraph (b) of the foregoing sub-paragraph the Commissioners shall have regard to all dividends paid on the shares in the respective periods, to any share-issue made in those periods to holders of the shares and, in a case under sub-paragraph (i) of the said paragraph (b) where the shares were not in existence three years before the relevant date, to the dividends paid on, and any share-issue made to holders of, any shares surrendered in exchange for the first-mentioned shares or in right of which the first-mentioned shares were acquired, and shall take such averages and make such adjustments as may appear to them to be required for a fair comparison.

3.—(1) The part of the profits of the company arising in the period beginning on the relevant date and ending on the date on which a dividend is payable which is available for payment of the dividend shall be determined as follows.

(2) There shall be deducted from the said profits such amount, whether fixed or proportionate to the amount of the profits, as in the opinion of the Commissioners having jurisdiction in the matter ought justly and reasonably to be treated as set aside for payment of dividends on any other class of shares in the company, having regard to the respective rights attaching to the shares and on the assumption that the total amount available for distribution by way of net dividend on all the shares in the company over any period will be proportionately greater or less than the profits of the company arising in the period beginning on the relevant date and ending on the date on which the dividend mentioned in the foregoing sub-paragraph is payable, according as the first-mentioned period is longer or shorter than the second-mentioned period.

3RD SCH.
—cont.

(3) In a case where in the period beginning on the relevant date and ending on the date on which the dividend is payable no previous dividend became payable on the shares of the class in question, the whole of the profits of the company arising in the period, less any deduction to be made under the last foregoing sub-paragraph, shall be regarded as available for payment of the dividend.

(4) If any previous dividend became payable in the said period on the same shares, there shall be determined in accordance with the foregoing paragraphs the extent, if any, to which that previous dividend is to be regarded as paid out of profits accumulated before the relevant date, and the profits of the company arising in the said period, less any deduction to be made as aforesaid, shall be regarded as primarily available for payment of the net amount of that previous dividend so far as it is not regarded as paid out of profits accumulated before the relevant date and only such balance, if any, as remains shall be regarded as available for payment of the later dividend.

(5) Where under sub-paragraph (2) of this paragraph it falls to the Commissioners to determine what should be set aside for payment of dividends on shares of any class, and dividends on shares of that class have been treated under this Schedule as paid to any extent out of profits accumulated before the relevant date, the Commissioners may take that fact into account and reduce the amount to be so set aside accordingly.

4.—(1) For the purposes of this Schedule the profits of a company arising in a given period shall be determined as follows.

(2) The said profits shall be the income of the company for the period diminished by—

- (a) the income tax actually borne by the company for any year of assessment in the said period (including any surtax borne by the company under Chapter III of Part IX of the Income Tax Act, 1952), and
- (b) the profits tax which would have been payable by the company for any chargeable accounting period in the said period if the amount distributed by way of dividend in the chargeable accounting period had been such as, when taken with the profits tax so payable, would just exhaust the income of the company arising in that chargeable accounting period:

Provided that where relief has been afforded to the company under section three hundred and forty-seven or three hundred and forty-eight of the Income Tax Act, 1952 (which relate to double taxation relief by agreement with other countries or unilaterally), references in this sub-paragraph to tax actually borne or to tax which would have been payable shall be construed as references to the tax which would have been borne or payable if that relief had not been given.

5.—(1) For the purposes of this Schedule the income of the company for a given period shall be determined as follows.

(2) There shall be computed the aggregate amount—

3RD SCH.
—cont.

- (a) of any profits or gains arising in the period from any trade carried on by the company computed in accordance with the provisions applicable to Case I of Schedule D, and
- (b) of any income for any year of assessment in the period (computed in accordance with the provisions of the Income Tax Acts) other than profits or gains arising from any such trade.

(3) There shall be deducted from the said aggregate amount the sum of the following amounts, that is to say—

- (a) any loss sustained by the company in the period in any such trade (computed in the same manner as profits or gains under the provisions applicable to Case I of Schedule D), and
- (b) any allowances in respect of any such trade under Part X or XI of the Income Tax Act, 1952, for any year of assessment in the period other than those given by way of deduction in computing profits or gains or losses, and
- (c) any payments made by the company in any year of assessment in the period to which section one hundred and sixty-nine or one hundred and seventy of the said Act applies, other than payments to which the said section one hundred and seventy applies by virtue of section three hundred and eighteen of the said Act or which are deductible in computing the profits or gains or losses of a trade carried on by it,

and the balance shall be the income of the company for the period.

6. Any reference in paragraph 4 or 5 of this Schedule to an amount for a year of assessment in the period in question shall be taken as a reference to the full amount for any year of assessment falling wholly within the period and a proportionate part of the amount (on a time basis) for any year of assessment falling partly within that period, and the reference therein to profits tax payable for any chargeable accounting period in the said period shall be construed in a corresponding manner.

FOURTH SCHEDULE

Section 5.

ENACTMENTS REPEALED

Session and Chapter	Short Title	Extent of Repeal
15 & 16 Geo. 6 and 1 Eliz. 2. c. 33.	The Finance Act, 1952	Section nine. The Fourth Schedule.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Finance Act, 1937	1 Edw. 8 & 1 Geo. 6. c. 54.
Finance (No. 2) Act, 1940	3 & 4 Geo. 6. c. 48.
Finance Act, 1941	4 & 5 Geo. 6. c. 30.
Finance Act, 1947	10 & 11 Geo. 6. c. 35.
Finance Act, 1948	11 & 12 Geo. 6. c. 49.
Income Tax Act, 1952	15 & 16 Geo. 6 & 1 Eliz. 2. c. 10.
Finance Act, 1952	15 & 16 Geo. 6 & 1 Eliz. 2. c. 33.
Finance Act, 1954	2 & 3 Eliz. 2. c. 44.

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